

gaps up later in the month. The two gaps appear at about the same price level, 11.50. From that point, price climbs quite rapidly and reaches a high of 21.50, well above the 11.25 price posted the day before the breakout. Notice that the breakout is on very high volume.

The last island highlighted on the chart is near the top. It is an island top, and price moves down from about 20 to less than 8. This pattern is a traditional island top because of its compact size. I did not count it in my tabulations because the gap on the right is less than the 25 cents I used to filter out such patterns. Still it does emphasize a trend reversal with excellent timing.

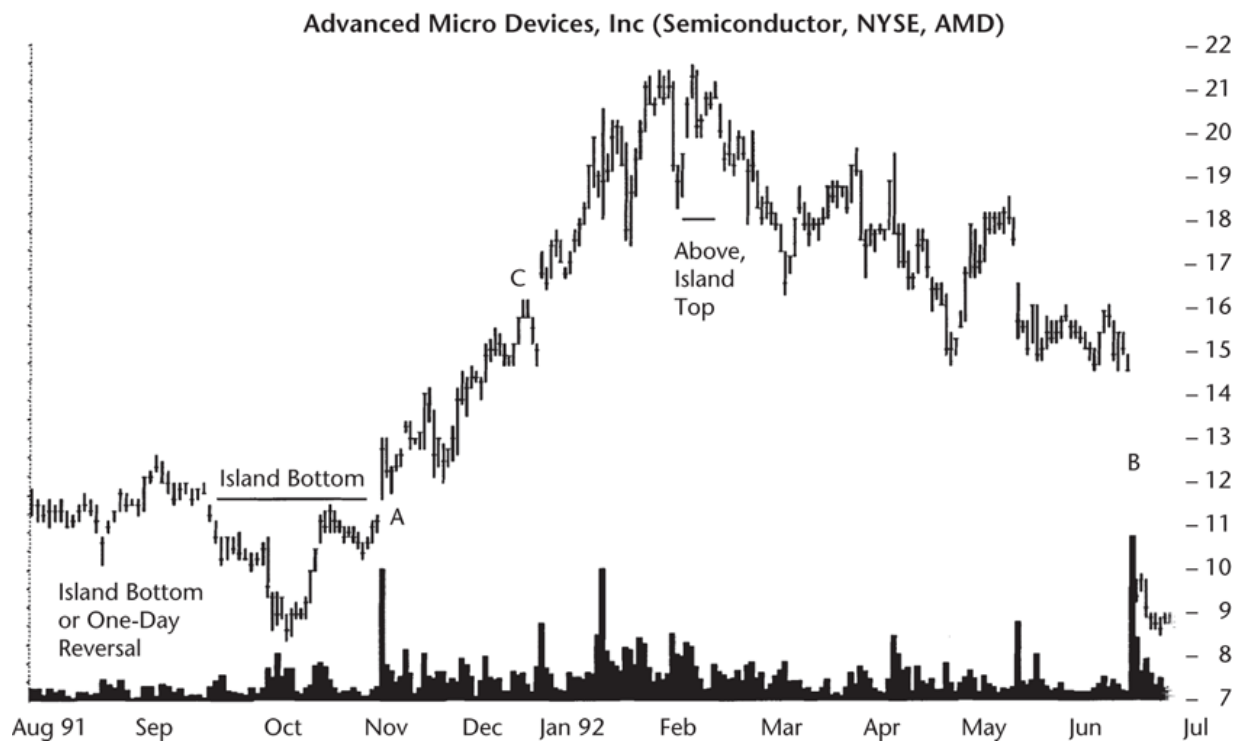


Figure 45.1 A one-day reversal, island bottom, and island top. You can see the price change that results after each reversal.

Not highlighted is a very large island top. The island starts at point A while a matching right gap is the large price decline in mid-June (point B). The island is almost 8 months long.